Month 5

Implementing Macro Analysis - Quaterly shifts & IPDA Data Ranges :-

Markets are not Random, they are engineered & absolutely controlled to a very fine.

The Quaterly Market Shift:

→ IPDA Data Ranges: (Interbank price delivery Algorithm)

(i) 3-4 Month Major Market shift

(ii) Smart Money Accumulation for Buy Programs :-

- Manipulation in underlying vs the benchmark
- Benchmark makes Lower low - Underlying makes Higher low (expect upside movement)
- Underlying makes Lower Low - Benchmark makes Lower high (expect turtle soup)
- Benchmark makes Higher high - Underlying makes higher Low

(iii) Smart Money Distribution for Sell Programs :-

- Manipulation in the underlying vs Benchmark
- Benchmark makes a higher high - Underlying makes Lower high.
- Underlying makes Higher high - Benchmark makes Higher Low.
- Benchmark makes Lower Low - Underlying makes Lower high.

The Quaterly Shift :-

(i) The Look back :-

- 60-40-20 Trading days
- Identify Institutional orderflow
- Refer to recent Institutional reference points
  - → old price high
  - → old price low
  - → Bearish orderblock
  - → bullish orderblock
  - → fair value gaps or void
- Anchor vertical line to previous Market shift.

(ii) The cast forward :-

- Anticipate Market shift in 20 to 60 trading days
- Cast forward 20 days when last shift was 40 days ago.
- Cast forward 40 days when last shift was 20 days ago.
- Projected 3 months limit.

Quaterly shifts & open float :-

The Quaterly shift :-

→ open float :-

(i) The current "open interest" above and below Market Price

(ii) Short & protective [Buy stops] above the last bearish shift.

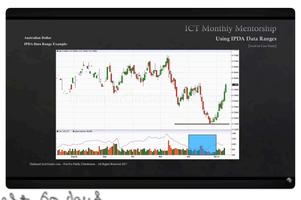
- Buy stops above short term highs
- Buy stops above highest high in last 3 Months
- Buy stops above the current 6 Month high
- Buy stops above the current 12 Month high

(iii) & vice versa for Long Protective [sell stops] under last Bullish shift.

IPDA Data Range (Case Study) Top down Analysis :-

(Interbank Price Delivery Algorithm)

You need to know how much time Market is taking to fulfill the observation. So Journal every observation.



→ where is the sell stops in last 60 days
→ where are the buy stops in last 60 days
→ where are the fair value gaps in last 60 days
→ where are the liquidity void.
→ where are the equilibrium points.

If there is a high or low before 60 days, consider that as top priority.

If both stops taken within 60 days then there should be expansion to create more high or low & can be done by viewing more past 60 days.

(Book recommendation :- How I made 1 Million in commodity by Larry William.)

Every three months this happens.

Open interest reflect the selling side of the provider of Liquidity.

Its all time & price & here time is date.

Defining openfloat Liquidity Pools :- (120 trading days → open float)

→ Near term high & low in last 20 days
→ Short term high & low in last 40 days
→ Intermediate term high & low in last 60 days

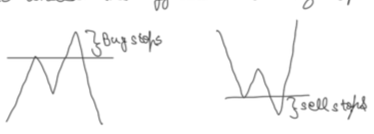
Note :- Book recomendation :- Street Smarts Book.

→ If buy stops are taken at every open float, then Market is bearish.
→ If sell stops are taken at every openfloat, the Market is Bullish.

Defining Institutional swing points :-

→ There are only two forms of swing points as related to Institutional trading,
  (i) stop run
  (ii) failure swing

1. The Market trades to a key level or just short of it - but fails to immediately reject - indicating another run deeper before a reversal.
2. After the reversal - the opportunity is best taken when the short term market structure breaking point is retested.
3. First run on stops in a market in an Intermediate term price swing is ideal - smart money will look to unload the aggressive trailing stops.



Failure Swing :-

1. The Market trades through a key level initially but fails to immediately continue - after rejecting the new price level - the Market retraces only in attempt to stage another drive to retest or overtake the next price level.
2. After the reversal, the opportunity is best taken when the initial key level is retested. or after Market structure breaking point retested.

Using 10 Year yields in HTF Analysis :-

10 Year Notes in HTF Analysis :-

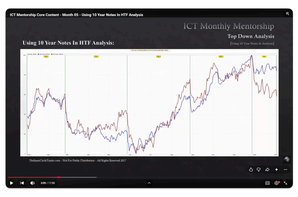
1. charting 10 Year Treasury Prices.
   www.barchart.com
2. charting 10 Year Treasury yields
   www.investing.com

Treasury prices are inverted to its yield

- As treasury prices drop - Treasury yields increase.
- As treasury prices rise - Treasury yields decline.

Long term funds seek yield :-

- US dollar can rally when yields increase - Treasuries price drops.
- US dollar can decline when yields decrease - Treasuries prices rise.



Qualifying Trade conditions with 10 year yields :-

→ when interest declines, future price rally.

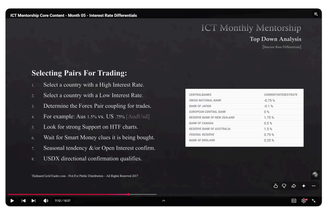
Interest Rate Differentials :-

→ Central Bank Interest Rates :-

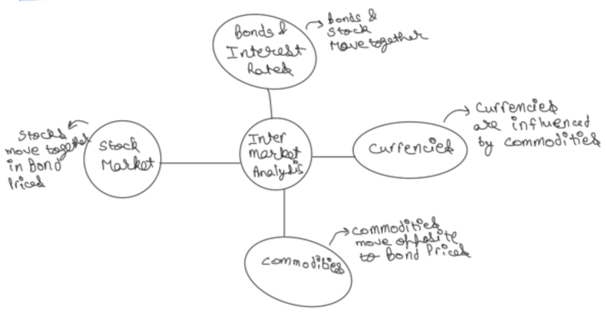
The macro perspective has to begin with central bank Interest Rates. These rates are set to stimulate or instigate inflation in a country's economy.

The long term macro concept is to look for a high Interest rate country and pair that country with a low interest rate country. The respective currencies when coupled as a forex pair - is "fundamentally" poised for strength in relative terms against all others.

The reverse is said for low paired countries with high interest rates coupled with a high interest Rate country. These pairs would be viewed as "fundamentally" poised for weakness in relative terms against all others.



How to use Intermarket Analysis :-



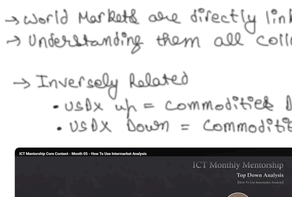
→ World Markets are directly linked to one another
→ Understanding them all collectively aids in analysis.

→ Inversely Related
- USDX up = commodities DOWN
- USDX Down = Commodities UP

Applying Seasonal Tendencies to HTF Analysis :-

Bullish Seasonals in HTF Analysis :- (Moore Style Seasonal Methodology)

(i) Seasonal tendencies are merely a proverbial "roadmap" of past performance.
(ii) They are not to be viewed as a panacea or be all end all concept.



Bearish seasonals in HTF analysis :-

1. Futures of commodity Markets are not same as forex. The underlying currency market may move in tandem in a forex pair or it may be inverted - based on the pairing with another currency.
2. New Zealand Dollar for instance can be tracked in forex with the NZDUSD pair. It is the first currency in the pair's name - thus expected to move in tandem with the New Zealand Dollar future movement.
3. Seasonals can provide trade conditions that may align your trading in the direction of the next Quaterly shift or it may not.

Money Management & HTF Analysis :-

(i) Account Balance Not Important.
(ii) Not required to use majority of the equity.
(iii) Limit Allocation to 30% of the equity.
(iv) Determine Max risk % on 30% of equity.
(v) Ideally set 1% as the most risk per trade.
(vi) Target 3:1 Reward to risk or higher setups.
(vii) Low Risk High reward permits low Accuracy.
(viii) Low Risk allows equity for more setups.

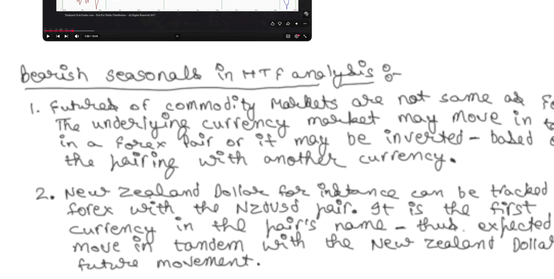
Money Management & Expectations :-

(i) Focus on a handsome annual % returns → (18-25%)
(ii) Remember few long Term setups form annually.
(iii) Learn to allow short term drawn in Profits.
(iv) Stop loss orders are not a measure of ability.
(v) 200 Pips risked for 600 pips is still 3:1 ratio.
(vi) Do not look to move stop loss too soon.
(vii) Learn to exit at logical targets & reenter later.
(viii) Long term is not get rich quickly but steady.

★ → 2-3 position trades per year.

Defining High time frame PD Arrays :-

→ Use the monthly chart & weekly chart to frame the context of what the market should be doing using these PD arrays.



Daily / Weekly / Monthly Premium

- old high / low
- Rejection block
- Bearish orderblock
- Fair value gap
- Liquidity void
- Bearish Breaker → down candle btw 2 swing highs
- Mitigation Block

Equilibrium

- mitigation block
- Bullish Breaker → up candle btw 2 swing lows
- Liquidity void
- fair value gap
- Bullish orderblock
- Rejection Block
- old high / low

Monthly / Discount
weekly /
daily

Trade conditions & setup Progression :-

→ Any bullish orderblock, or any support off role from a PD array on a daily chart, if it is bullish but it fails to give you a buy signal or support price, the next level you draw back to is a weekly PD array.
If daily don't → weekly → Monthly.

Stop Entry Techniques for Long term traders :-

Buying with Stop orders :-

The monthly & or weekly should suggest Institutional order flow will be seeking a PD Array above daily market price.

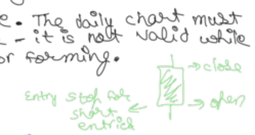
The Daily should post a Bearish candle. The daily chart must close the candle with a DOWN close - it is not valid while the daily chart candle is trading or forming.

Buy stop is placed at Bearish candle opening.

Selling with Stop orders :-

The monthly & or weekly should suggest Institutional orderflow will be seeking a PD Array below daily market price.

The Daily should post a Bullish candle. The daily chart must close the candle with a UP close - it is not valid while the daily chart candle is trading or forming.



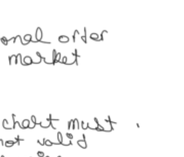
Limit Entry Techniques for Long Term Traders :-

Buying with Limit orders :-

The Monthly & or weekly should suggest Institutional orderflow will be seeking a PD Array above Daily Market price.

The Daily should post a Bearish candle. The daily chart must close the candle with a down close - it is not valid while the Daily chart candle is trading or forming.

Buy limit is placed at bearish candle close.

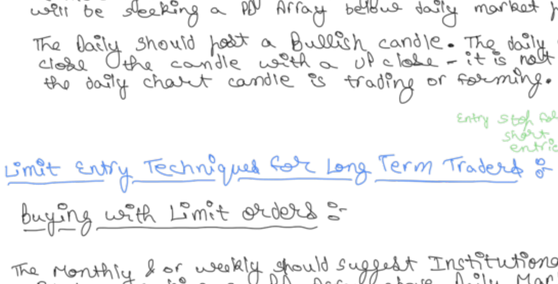


Selling with limit orders :-

The Monthly & or weekly should suggest Institutional orderflow will be seeking a PD array below Daily Market price

The Daily should post a bullish candle. The daily chart must close the candle with a UP close - it is not valid while the daily chart candle is trading or forming.

Sell Limit is placed at Bullish candle close.



Position Trade Management :-

Bullish Market Conditions :-

(i) Anticipate Bullish seasonal Tendency.
(ii) Look for Intermarket Analysis confirmations.
(iii) Refer to Interest rate yields direction to confirm.
(iv) Consult HTF Monthly & weekly charts for PDA.
(v) Expect a Quaterly shift & intermediate swing.
(vi) Use Daily PDA to frame your bullish setup.
(vii) Determine if you will enter by stop or Limit.
(viii) Trail stop loss below the lowest low in last 40 trading days.

& vice versa for Bearish Market conditions.

Breakeven on positional Trades is worst thing to do.